Economic dynamism requires closure

Creative destruction is the ceaseless process where people try out ideas, build a business, and when they find that it does not work, they close it down. Many innovations are attempted, out of which some turn out to work well. When an incumbent firm develops a high profit margin, others jump in and compete this excessive profit away.

Creative destruction requires closure in the form of firm exit. There are three kinds of frictions in firm exit. Some firms are artificially kept alive as zombie firms. Other firms face a messy exit owing to the infirmities of the bankruptcy process. [5] Finally, there is the case when the agencies come in. When business failure turns into investigations, there is no closure.

The willingness of entrepreneurs to start a business requires an economic environment of limited liability, where the entrepreneur will be able to give up, put the firm into the bankruptcy process, and walk out of it with nothing more than a bruised ego, reputational damage, and valuable experience. A society that pillories entrepreneurs, and turns business failure into protracted disputes or entanglement in agencies, is one which will have less entrepreneurship.

Business cycle fluctuations and firm failure

Bankruptcy at the level of firms or individuals is intertwined with the macroeconomics of business cycles. In good times, many firms do well, whether capable or not. Downturns are an *agni pariksha* (trial by fire) which certain firms do not survive. This has its own cleansing impact. Similar issues prevail about firm creation also: the firms who get started in bad times seem to be a bit more capable.

Conversely, there is a link between institutional mechanisms for exit and recovery from a downturn. Consider a future date when the bankruptcy process works well. Under such conditions, when a business cycle